Be faithful. So many investors repeatedly switch into the investment strategy that worked last year. Chasing whatever group of stocks has already gone up, they are forever being whipsawed.

I believe, moreover, that investors intuitively understand not only their own tolerance for risk but the innate riskiness of the different investments and approaches available to them. If Bert made 20 percent on his money speculating in soybean futures, while Betty made only a 10 percent return holding government bonds, most people would say that Bert's superior profit required taking much more risk than they'd be comfortable with, and that they'd be happier with Betty's safe return.

Lessons from the Trenches

If you adhere to a philosophy, you'll avoid the trouble that comes from chasing fads. I've watched a slew of them soar and fizzle.

When I was just starting out in this business, in 1961, defense electronics were the rage. There was an initial public offering (IPO) boom that has probably not been equaled since for low quality. A flood of underwritings launched companies whose future growth prospects were ballyhooed as sensational, and the stocks would go to huge premiums above the original issue price. Price risk was ignored.

A hot-deal market can never sustain itself for long, and we had the short but steep bear market of 1962. Whatever number of those companies were still in business—and many were not—their stock prices plummeted. Another new-issue wave swept over investors in 1968, but was broken by the 1970 bear market. Enthusiasm for IPOs always surges in mature bull markets; we saw it again in 1996, when IPO issuance reached record levels.

After the 1968–70 new-issue binge and bust, investors decided that only big growth companies counted, and we soon had the day of the "one-decision" growth stocks selling at seventy-five times